



Matt Allen

@investmattallen

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Most people want to be an investor

But most investors don't understand the golden rules of investing

Here are 20 golden rules of investing:

1. Know What You Own

Most investors think a stock is a lottery ticket.
However, behind every stock is a company.

Figure out what the company does and what it is worth.

2. Remove Emotions

Warren Buffett says 90% of investing is pure emotion. If you remove emotion, you will have a huge edge on other investors.

3. Never Invest on Borrowed Money

Charlie Munger says the greatest downfall of men are:

- Ladies
- Liquor
- Leverage

If the stock market makes a downturn, you will be ruined by a margin call

4. Understand Financial Statements

Accounting is the language of investing.

You should understand how to read all 3 financial statements:

- Cash Flow
- Balance Sheet
- Income Statement

5. Focus on the Long Term

The stock market always goes up in the long-term.

However, in the short term it can easily go up and down.

Stay focused on the long-term, and you will be rewarded.

6. Use your “niche” edge

If you have a niche that you know a-lot about, you should focus on investing in that niche.

For example, if you love fashion, you should focus on investing in the retail space.

If you love tech, you should focus on investing in tech stocks

7. Ignore the herd

Wall Street moves in the same direction. They are either bullish/bearish at the same time like sheep in the herd.

If you can ignore the noise, you will have a great advantage on them.

8. Avoid the next “hot” stock

If you are investing in a stock because your Uber driver gave you a hot penny stock tip, then you are setting yourself up for failure.

Find great companies that are on a major discount and hold them for a long time.

9. Let your winners win

All you need in investing is a few BIG winners.

The problem?

Most people sell their winners way to early and buy under-performing stocks

10. Stock market declines are opportunities

Most people think declines are times to panic when in reality they are times to go on offense.

11. Don't focus on the Macro

There is nothing that you can do about the economy, interest rates, or the overall stock market.

However, you can control your research into great companies and finding the next big thing.

12. Never Lose Money

Most investors focus on how much money they will make from an investment.

They should focus on how much that they could lose, and how they can protect their money.

13. Don't over-diversify

Buying individual stocks is hard.

Warren Buffett believes in owning a few stocks and knowing everything about those stocks.

14. Buy Index Funds

If you don't have a passion for researching individual stocks, then you should simply buy index funds that track the S&P 500 and Nasdaq

15. If the business does well, the stock will eventually follow

If the stock is down but the business is doing great. The stock price will eventually catch up to the business.

When you invest in stocks, you should find stocks that are on a discount

16. Focus on small profitable companies

If you can find a small-profitable company that is a leader in a growing niche, you have the chance for a BIG win

17. Free Cash Flow is

Jeff Bezos calls free-cash flow the ultimate financial metric

Investors should focus on free-cash flow and not earnings

18. The best holding period is forever

When Warren Buffett invests in a stock, he looks for companies that he can hold forever.

This should be the same for you

19. Look forward, not to the past

The investor of today does not profit from yesterdays growth.

You should always focus on finding new opportunities.

20. Invest in yourself

The best investment that you can make is an investment in yourself.

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